



BMW Group

TARIFF MITIGATION

Project Management Plan

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1 Executive Summary

BMW's profitability and market competitiveness in North America is materially threatened by Trump's 2025 tariff regime, due to import costs on vehicles and parts. This project proposes a two-pronged strategy: **(1) expanding subscription-based digital features**; and **(2) reformulating US production to reflect domestic demand** - localising production of 2- and 3-Series EVs at BMW's Spartanburg Plant. With a proposed \$235 million investment over 19 months, this project reflects BMW's need for immediate action to offset projected annual losses of €1 billion. Concurrently, expansion of digital offerings represents a long-term investment to secure BMW's place at the heart of innovation and digital mobility leadership in the automotive industry.

Robust project controls, including EVM and bi-weekly performance reviews, strengthen against risks of scope creep and substantial delays. BMW's Strategy Team seeks Executive Endorsement of this proposal, to transform the tariff threat into a strategic opportunity.



Image BMW Group,(2025)

2 Organisational Context

2.1 Tariff Exposure

Trump's tariffs on imported vehicles and components pose a material threat to BMW, with an estimated impact of €1 billion in 2025 (Hogan and Saunders, 2025). Approximately 18.5% of BMW's revenue originates from the US and production stems from facilities in Europe, Spartanburg (USA) and San Luis Potosi (Mexico), in accordance with BMW's 'local-for-local' approach. Accordingly, two tariff regimes govern BMW's exposure in the US market.

United States-Mexico-Canada Agreement (USMCA)	25%
US-EU Trade Agreement	15%

BMW's San Luis Potosi facility has become a critical cost point, manufacturing 2-Series and 3-Series vehicles for North America (Annual Report, 2024) and incurring a 25% tariff upon import into the US.



Photo by BMW Group Plant San Luis Potosi (n.d.)

2.2 Strategy

To mitigate tariff exposure and maintain profitability, BMW should reformulate the Spartanburg production line to align with US demand and expand domestic assembly of high-volume models - specifically, electric vehicles (EVs) from the 2-Series and 3-Series lines. Demand for EVs continues to rise with annual US EV sales increasing from 0.3M to 1.5M from 2020-2024 (IEA, 2025), supported by government incentives (Inflation Reduction Act 2022).

Additionally, on-demand digital features should be offered to increase per-vehicle revenue and strengthen market competitiveness. The automotive data monetisation industry is projected to rapidly grow from USD\$7.8B to USD\$25.8B by 2034 (Global Market Insights, 2024). Consumer demand is further evidenced by competitor investment into this industry, including Tesla, Ford and Volvo (Jin & White, 2024).

This project aligns with BMW's organisational vision at the nexus of sustainability and innovative technologies (BMW Group, 2025).

2.3 Stakeholder Management Analysis

Stakeholder	Expectation	Desired Outcome / Constraint
Customers	Stable prices and consistent product quality and availability.	Avoid price increases; maintain supply and quality.
Shareholders	Protection or growth of margins and sales; long-term value creation.	Sustained profitability and long-term competitiveness.
Board of Directors	Effective restructuring, long-term efficiency, compliance, risk resilience.	On-time, on-budget restructuring with compliance.
Employees	Transparent communication, job security, support during changes.	Minimised uncertainty; redeployment/training provided.
Regulators	Compliance with trade, labour, and environmental standards.	No fines or reputational risks.
Suppliers	Continuity in contracts and logistics.	Stable cooperation despite production shifts.

3 Scope Management

3.1 Statement of Work

Background and objectives are defined per 2.1; 2.2.

Project timeline and delivery schedule are defined per 4.1.

3.1.1 TECHNICAL DESCRIPTION

Digital Features

New digital features will be serviced via a subscription-based model where customers purchase features on-demand such as adaptive ambient lighting, remote vehicle function, augmented reality display and AI solutions to be developed in R&D. BMW currently employs a subscription model for features such as enhanced navigation and entertainment. Competitor automotive companies such as Tesla also offer subscription access to premium capabilities, such as its “full self-driving” software or its “premium connectivity” service, with 285,000 North American customers paying subscription fees (O'Hare, 2023). This quantitatively evidences how software and digital add-ons enhance a business model from a financial perspective.

Production Line Localisation

The Spartanburg facility should restructure its production line from purely SUVs to a combination of models that reflect domestic demand, including increased production of the 2- and 3-Series EVs currently produced in Mexico. Substantial investment will be required to retool BMW's US facility. However, financial projections indicate profitability of this investment, as locally manufactured models circumvent US tariffs. To facilitate this retooling, workforce training and purchase of machinery is required for the Spartanburg plant. Construction of an entirely new facility is not advised due to tariff unpredictability and expensive US labour costs.



3.1.2 RESOURCE REQUIREMENTS

Digital Features	Product Line Localisation
HR	
❖ Software developers ❖ IT architects and data engineers ❖ Digital product managers ❖ Legal and compliance specialists ❖ Marketing and customer experience teams	❖ Plant engineers and operations managers ❖ Procurement specialists ❖ Manufacturing procurement engineers ❖ Supply chain and logistics teams ❖ Finance and cost-control analysts
Technology	Equipment
❖ Cloud hosting environment ❖ Secure payment processing platform ❖ Over-the-air (OTA) software update system ❖ Cybersecurity tools ❖ Test vehicles and simulators	❖ Factory layout redesign tools ❖ New assembly line machinery ❖ Quality assurance and testing equipment ❖ Facility safety upgrades
Finance	
❖ R&D budget ❖ Licensing and software tool costs ❖ Marketing promotional budget ❖ Contingency funds	❖ Capital expenditure for machinery and installation ❖ Budget for training ❖ Funds for contract and compliance audits

3.1.3 ACCEPTANCE CRITERIA

Digital Features	Product Line Localisation
❖ All digital features are functioning as	❖ Factory retooling completed and approved



intended after OTA activation ❖ Subscription system is integrated with BMW ID and global CRM for payment ❖ System passes security checks ❖ Regulatory and data privacy compliance	❖ All necessary regulatory and plant layouts approved ❖ Workforce retrained ❖ Supply chain fully functional ❖ Full-scale production and ramp-up ❖ Performance KPIs meet baseline benchmarks
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3.2.1 SCOPE OF WORK

In Scope Activities

- ❖ **Market and tariff impact analysis:** quantify cost implications across BMW models affected by US tariffs.
- ❖ **Digital feature roadmap design:** identify and prioritise digital upgrades for monetisation.
- ❖ **Product line localisation strategy:** recommend adjustments in model lineup to increase US assembled units and alignment with domestic demand.
- ❖ **Subscription model development:** define pricing, bundling and subscription structures for new digital features.
- ❖ **Financial modeling:** simulate outcomes under various tariff and consumer demand scenarios.
- ❖ **Pilot and rollout plan:** define milestones for digital feature deployment and production transition.
- ❖ **Software development for digital features**
- ❖ **Retooling of the Spartanburg Plant**
- ❖ **Marketing for digital features**

Out of Scope Activities

- ❖ Manufacturing plant **relocation or construction**.
- ❖ Legal or trade **lobbying activities**.
- ❖ **Core vehicle engineering** beyond digital feature integration.



3.2 Work Breakdown Structure

Breakdown	Description	Code
Tariff Mitigation Project		1.0
Deliverable 1	Analysis and Foundation	1.1
WP 1	Tariff impact and market analysis	1.1.1
WP 2	Project feasibility study	1.1.2
WP 3	Foundational report, including global supply change impact assessment	1.1.3
WP 4	Top management approval	1.1.4
Deliverable 2	Subscription Model and Financial Scenario Analysis	1.2
WP 1	Subscription model development	1.2.1
WP 2	Financial modeling and scenario simulation	1.2.2
WP 3	Reporting and formal recommendations to management	1.2.3
Deliverable 3	Digital Feature Enhancement and Integration	1.3
WP 1	Research and development of new features	1.3.1
WP 2	Seek and hire departmental support for IT	1.3.2
WP 3	Software development of digital features	1.3.3
WP 4	Testing, debugging and validation	1.3.4
WP 5	Pilot launch and feedback gathering	1.3.5
WP 6	Full rollout and transition	1.3.6

Deliverable 4	US Plant Product Line Transition	1.4
WP 1	Planning and design of factory retooling	1.4.1
WP 2	Acquire production plant layout approval	1.4.2
WP 3	Vendor selection for procurement of necessary machinery and infrastructure	1.4.3
WP 4	Installation of equipment and implementation of new factory layout	1.4.4
WP 5	Workforce training: fly in experts from BMW Mexican plant to teach US workers	1.4.5
WP 6	Testing and validation	1.4.6
WP 7	Full-scale production rollout	1.4.7
Deliverable 5	Marketing and Commercialisation	1.5
WP 1	Digital marketing campaign design	1.5.1
WP 2	Co-ordination with departments and approval from management	1.5.2
WP 3	Marketing implementation on social media, traditional media and BMW locations	1.5.3
Deliverable 6	Initiate Changeover	1.6
WP 1	Monitor KPIs for digital features and US Production Line	1.6.1
WP 2	Close-out project	1.6.2
WP 3	Develop lessons learned	1.6.3

3.3 Responsibility Assignment Matrix

Legend

R	Responsible
A	Accountable
C	Consulted
I	Informed

WBS ID / Task	Project Manager	Strategy Lead	Digital Product Lead	Finance Analyst	Data and market analyst	Executive Sponsor	Legal and Compliance
1.1 Analysis and Foundation							
1.1.1 Tariff impact and market analysis	C	A		R	R	I	C
1.1.2 Project feasibility study	A	R	C	C	R	I	
1.1.3 Foundational report	A	R	C	R	C	I	C
1.1.4 Top management approval	A	R		C		I	
1.2 Subscription Model and Financial Scenario Analysis							
1.2.1 Subscription model development	C	R	A	C		I	C
1.2.2 Financial modeling and scenario simulation	C	C		R	R	I	

1.2.3 Reporting and formal recommendations to management	A	R	C	R	C	I	C
1.3 Digital Feature Enhancement and Integration							
1.3.1 Research and development of new features	C	C	R			I	C
1.3.2 Seek and hire departmental support for IT	A	C	R			I	
1.3.3 Software development of digital features	C	C	R			I	
1.3.4 Testing, debugging and validation	C		R			I	C
1.3.5 Pilot launch and feedback gathering	A	R	R	C		I	
1.3.6 Full rollout and transition	A	R	R	C		I	C
1.4 US Plant Product Line Transition							
1.4.1 Planning and design of factory retooling	A	R		C	C	I	C
1.4.2 Acquire production plant layout approval	C	R		C		A	
1.4.3 Vendor selection for procurement of necessary machinery and infrastructure	A	R		C		I	C

1.4.4 Installation of equipment and implementation of new factory layout	R	C				I	
1.4.5 Workforce training - fly in experts from BMW Mexican plant to teach US workers	A	R				I	
1.4.6 Testing and validation	R	C				I	
1.4.7 Full-scale production rollout	A	R				I	C
1.5 Marketing and Commercialisation							
1.5.1 Digital marketing campaign design	C	R	A			I	
1.5.2 Co-ordination with departments and approval from management	A	R	C			I	
1.5.3 Marketing implementation on social media, traditional media and BMW locations	A	R	C	R	R	I	
1.6 Initiate Changeover							
1.6.1 Monitor KPIs for digital features and US Production Line	A	R	C	R	R	I	
1.6.2 Close-out project	A	R	C	C		I	
1.6.3 Develop lessons learned	A	R	C	C	C	I	

4 Project Schedule

4.1 Methodology

The project schedule is structured into six sequential yet partially overlapping phases supporting BMW's dual strategy - expanding digital subscription services while shifting selected production lines to the U.S. to mitigate tariff exposure. All durations were estimated using the expected-time formula $t_e = (t_o + 4t_m + t_p)/6$ balancing optimistic and pessimistic assumptions within the team (Pinto, 2019, p. 349).

Because BMW already operates multiple digital features such as Driving Assistant Plus (BMW Group, n.d.), existing infrastructure and supplier integration allow faster implementation; task durations were therefore moderately shortened.

4.2 Phase Durations

Phase 1 - Analysis and Foundation (47 days) establishes the analytical baseline, with tariff and feasibility studies running concurrently to accelerate completion.

Phase 2 - Subscription Model and Financial Scenario Analysis (53 days) further develops the existing subscription model and does a financial analysis in parallel to enable earlier validation.

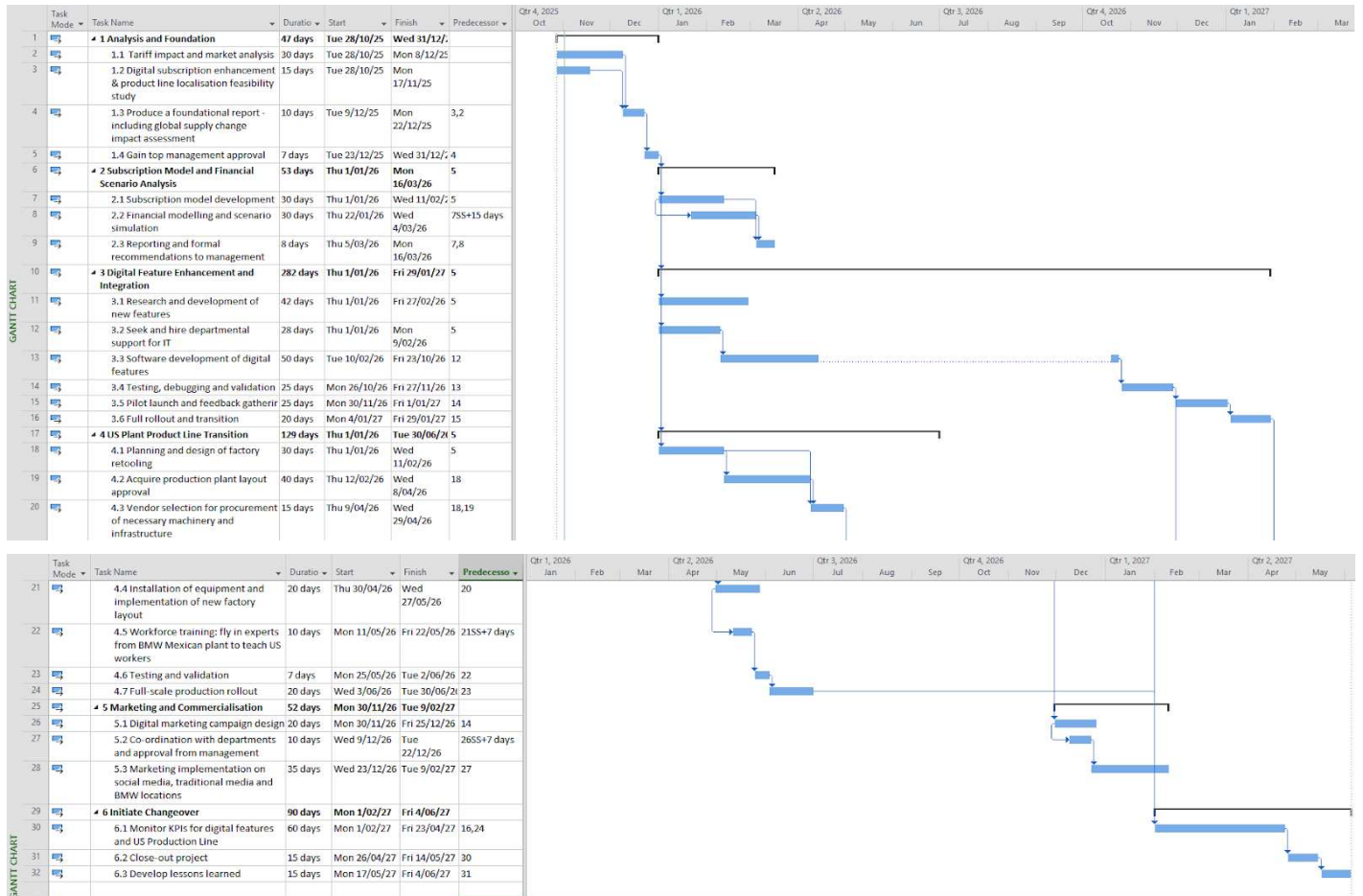
Phase 3 - Digital Feature Enhancement and Integration (282 days) is the most time-intensive stage, with agile overlaps between design, testing, and feedback ensuring iterative progress.

Phase 4 - U.S. Plant Transition (129 days) proceeds partly in parallel, allowing retooling and vendor preparation while digital systems are finalised.

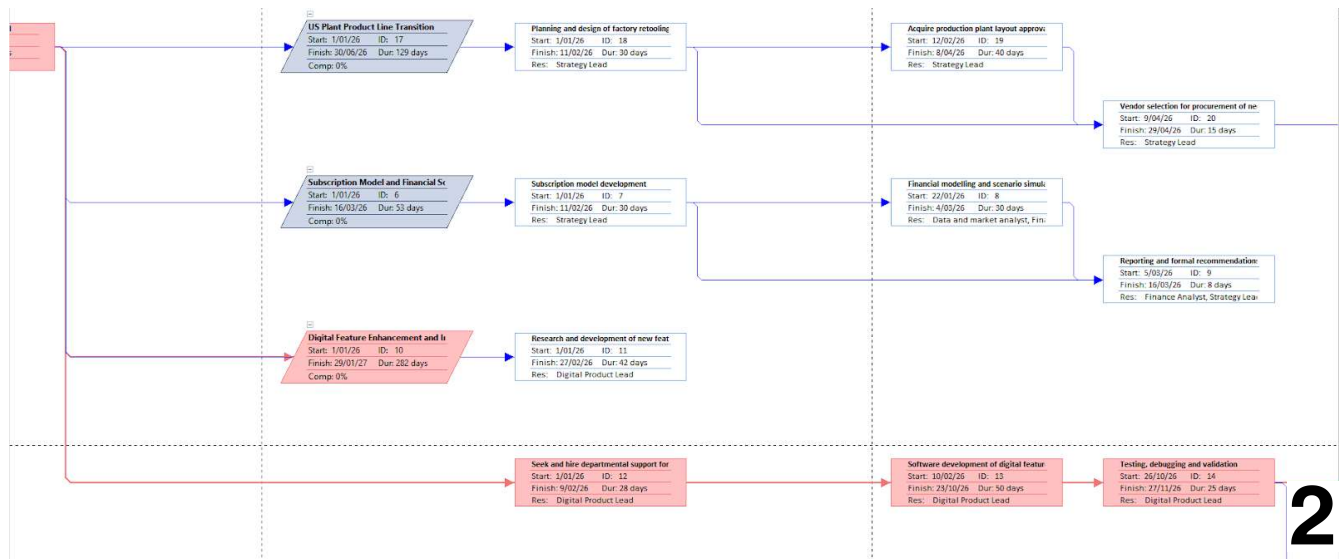
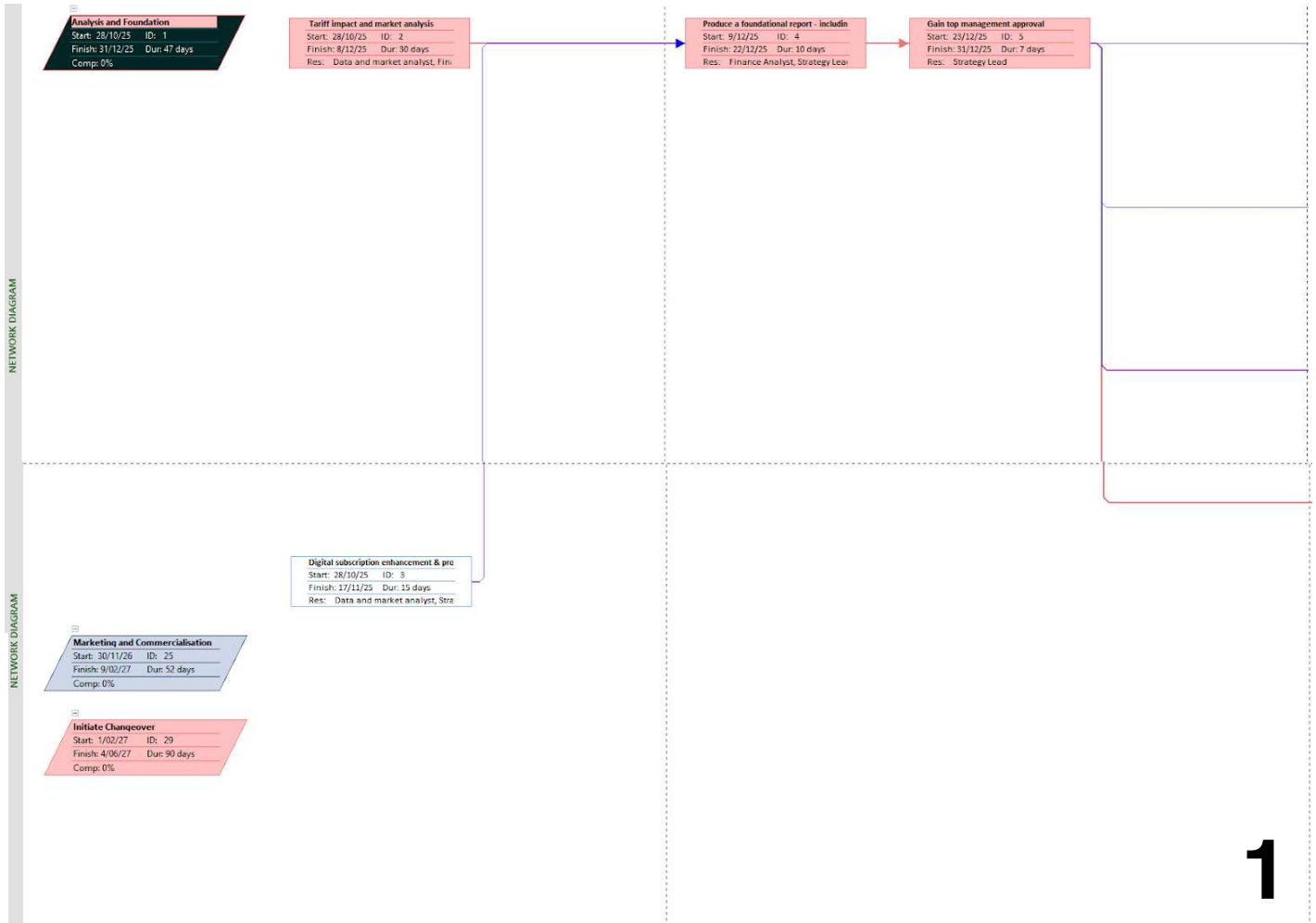
Phases 5-6 (142 days) focus on marketing, rollout, and KPI monitoring.

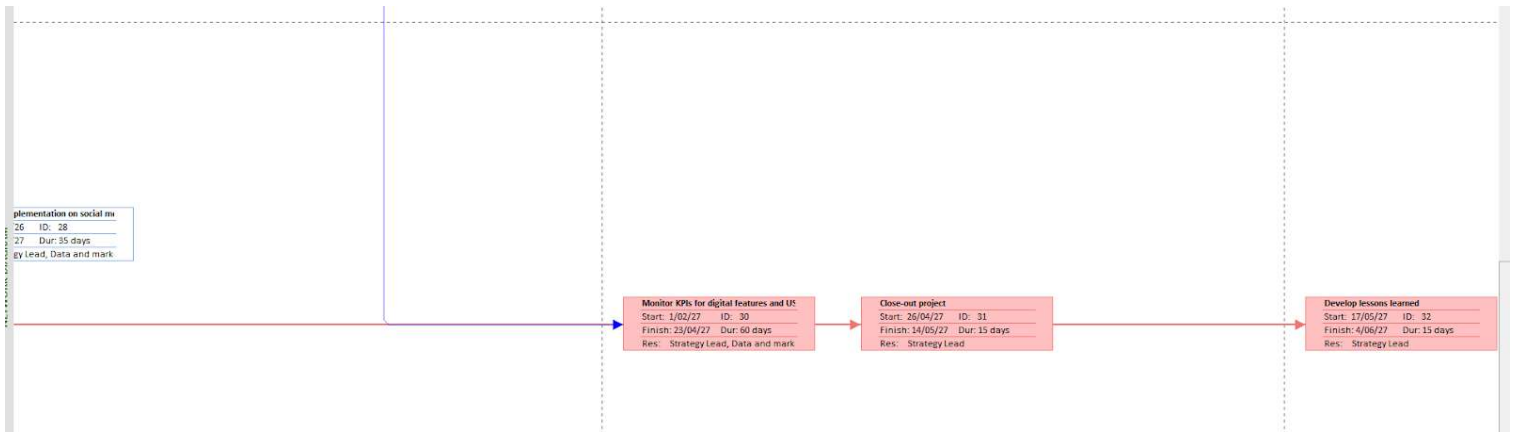
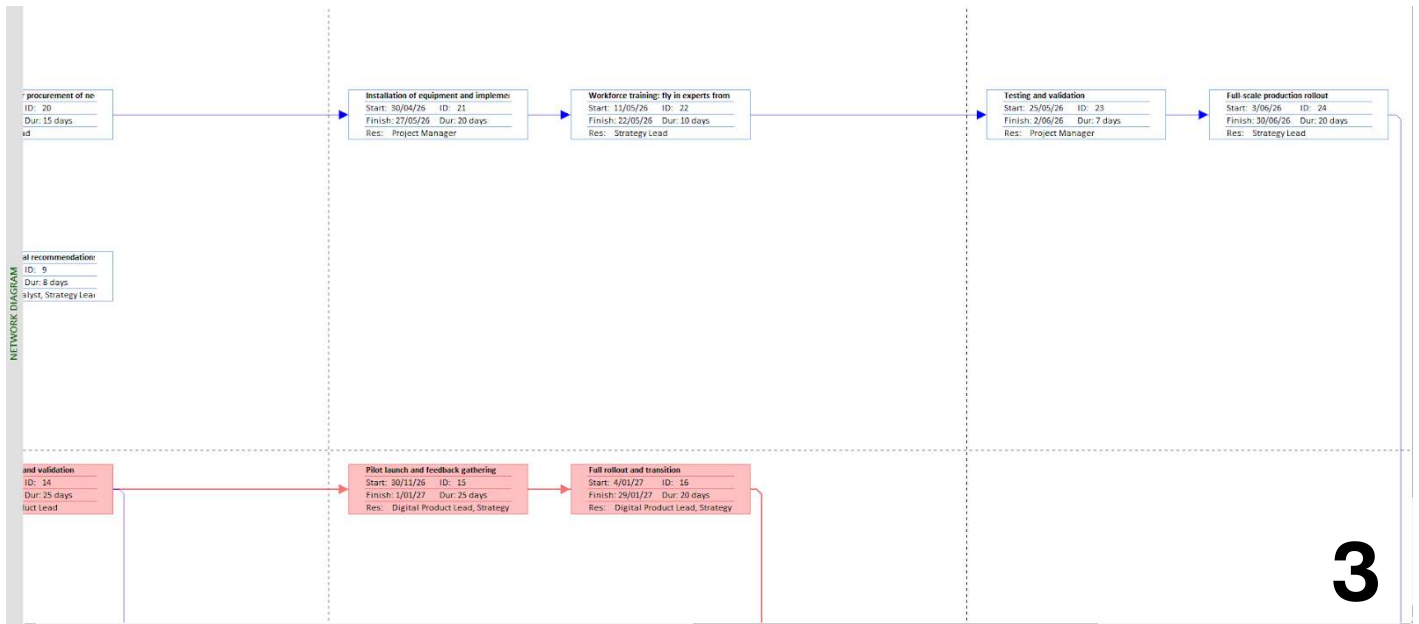
The digital feature rollout is planned after 15 months, while the overall project duration is 19 months. The following section visualises these dependencies.

4.3 Gantt Chart



4.4 Network Diagram





5 Project Estimation

5.1 Methodology

The project employs top-down budgeting methodology, estimating PV \$235 million. This represents 42.8% of BMW's projected \$1.1 billion annual tariff impact (Hogan & Saunders, 2025), 7.4% of BMW's 2024 gross profit and 6.3% of BMW's 2024 R&D expenditure, reflecting project feasibility. Estimates are derived from publicly available automotive industry and BMW investment data, including the \$1.7B Spartanburg facility expansion and \$200M press-shop investment (BMW Group, 2022; WardsAuto, 2024).

5.2 Budget

WBS	Work Package	Budget (\$M)	% of Total
1.1	Analysis and Foundation	22	5
1.2	Subscription Model and Financial Scenario Analysis	28	6
1.3	Digital Feature Enhancement and Integration	185	39
1.4	US Plant Product Line Transition	210	45
1.5	Marketing and commercialisation	15	3
1.6	Initiate Changeover	10	2
Total BAC		\$470M	100%

6 Risk Management

6.1 Risk Breakdown Structure

This project is moderate-high risk as it involves changing global supply chain, co-ordination across departments and regions, and integration of new technology.

LEVEL 1	LEVEL 2	LEVEL 3
Internal	Technical	Technology limits
		Cybersecurity vulnerabilities
		Scope uncertainty
		Personnel skill set & experience
		Supply chain
		Malfunction of digital features & quality issues
	Organisational	Resource insufficiency - staff, budget, facility
		Loss of support from management
	Project Management	Estimations
		Objectives
		Control
		Communication
External	Market	Customer acceptance
		Demand forecasting
		Financial market and labour market downturn
	Regulations	Material change to tariff regime
		Approval of Spartanburg facility retooling
		EV subsidisation
	Environmental Impact	Community protests
		Pollution risk

6.2 Risk Impact Matrix and Mitigation

		CONSEQUENCE IF RISK EVENTUATES			
LIKELIHOOD RISK EVENTUATES		MINOR	MODERATE	SIGNIFICANT	CATASTROPHIC
	VERY LIKELY	MODERATE	HIGH	EXTREME	EXTREME
	LIKELY	LOW	MODERATE	HIGH	EXTREME
	UNLIKELY	VERY LOW	LOW	MODERATE	HIGH
	RARE	VERY LOW	VERY LOW	LOW	MODERATE

Key risks (at least one from every LEVEL 2) and mitigation strategies are identified below.

Risk	Likelihood	Impact	Risk rating	Mitigation	Owner
Unexpected changes in US tariff policies could affect project profitability.	Likely	Significant	High	Transfer risk: Use fixed-price contracts with key suppliers in order to ensure prices.	Strategy Lead
Delays in digital feature development due to integration with legacy vehicle systems.	Very Likely	Significant	Extreme	Minimise risk: Create teams that incorporate both systems engineers and continuous testing to ensure early prototypes work.	Digital Transformation Lead
Regulatory issues	Likely	Moderate	Moderate	Share risk: Engage with external legal advisors and co-develop compliance roadmaps with partners in	Legal and Compliance

				the industry.	
Misalignment between digital and product strategy teams slows decision-making.	Likely	Minor	Low	Minimise risk: Implement an integrated governance model that shares accountability.	Project Manager
Consumer resistance to paying for new digital features subscription.	Very likely	Minor	Moderate	Share risk: Conduct joint pilot projects with dealers and other partners to share marketing costs.	Marketing Lead
Inaccurate demand forecasting in financial modeling, overstating profitability.	Likely	Moderate	Moderate	Minimise risk: Use multi-scenario demand modeling in order to best predict demand.	Finance Analyst
Loss of support and funding from BMW executives.	Unlikely	Catastrophic	High	Transfer risk: Secure an executive commitment via milestone-based funding agreements.	Project Sponsor

7 Monitoring & Control Plan

7.1 Tracking Method

The project will implement a systematic control cycle involving establishing the baseline plan, measuring ongoing progress, comparing actual performance against planned targets, and taking corrective actions when necessary (Pinto, 2019).

EVM will serve as the primary tracking method, integrating cost and schedule performance measurement. Three key metrics will be monitored bi-weekly: PV, EV and AC. Performance will be assessed using CPI and SPI. When cost or schedule variances exceed $\pm 10\%$ on individual work packages, the Project Manager will investigate underlying causes and develop corrective plans. Variances exceeding $\pm 15\%$ at the total project level will escalate to the executive committee for formal review. Additional monitoring tools include milestone tracking for the four major phase completions requiring Executive Sponsor approval, project S-curves to visualise cumulative spending against the baseline, and tracking Gantt charts updated bi-weekly.

7.2 Notification Record

Bi-weekly progress reports will document schedule and cost status, identify emerging risks from the Risk Impact Matrix, and outline corrective actions for the joint committee. Monthly executive summaries will provide senior management with updates focusing on phase completion, budget performance, and alignment with project objectives.

7.3 Control Systems

All scope changes require formal documentation and Project Manager evaluation before committee approval. For forecasting future performance, the project will use efficiency-based projections ($EAC = AC + [(BAC - EV)/CPI]$). If tariff policies change significantly, revised estimates will be developed with expert consultants and stakeholders (Pinto, 2019).

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